17-2 The Economics of Cooperation

As we have seen, oligopolies would like to reach the monopoly outcome. Doing so, however, requires cooperation, which can be hard to establish and maintain. In this section we look more closely at the problems that arise when cooperation among actors is desirable but difficult. To analyze the economics of cooperation, we need to learn a little about game theory.

In particular, we focus on a "game" called the **prisoners' dilemma** (a particular "game" between two captured prisoners that illustrates why cooperation is difficult to maintain even when it is mutually beneficial), which provides insight into why cooperation is difficult. Many times in life, people fail to cooperate with one another even when cooperation would make them all better off. An oligopoly is just one example. The prisoners' dilemma provides a general lesson that applies to any group trying to maintain cooperation among its members.

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